

- RAG Learning

4.3 Global Marketing

Business — Edexcel (9BS0) — Theme 4: Global business

Once a business decides to sell abroad, it faces the central question of global marketing: **how far should it standardise, and how far should it adapt?** A single global approach brings economies of scale and a consistent brand; local adaptation meets different tastes, cultures, incomes and laws. This topic covers the strategic approaches (global, glocal, ethnocentric, polycentric, geocentric), how the 4Ps and Ansoff's Matrix apply internationally, global niche markets, and the cultural and social traps — language, meanings, translation and branding — that have embarrassed some of the world's biggest firms. It links directly to the marketing mix in Theme 1.3.

Global marketing — marketing a product in many countries using a strategy co-ordinated across markets.

Global marketing strategy (standardisation) — using essentially the same product, brand and promotion in all markets.

Glocalisation (global localisation) — “think global, act local”: a global brand and strategy adapted to suit local tastes, cultures and conditions.

Ethnocentric approach — a domestic orientation: the firm sells the same product overseas as at home, assuming what works domestically will work abroad.

Polycentric approach — an international orientation: each market is treated as distinct, with its own adapted marketing mix, often run by local managers.

Geocentric approach — a mixed orientation: the world is treated as one market with a global strategy, but with local adaptation where needed.

Global niche market — a small, specialised segment of a market that exists across many countries.

Cultural diversity — the existence of different values, beliefs, customs, languages and interests among groups of people across the world.

1. Marketing (4.3.1)

Global marketing strategy and glocalisation

	Global (standardised) strategy	Glocalisation
Approach	"One size fits all" — same product, brand, packaging and message worldwide	Global brand and core product, with local adaptation of product features, promotion and price
Advantages	Economies of scale in production and marketing; consistent global brand image; simpler management; faster roll-out	Better fit with local tastes and culture; higher sales and customer loyalty; avoids cultural mistakes; can respond to local competitors
Disadvantages	Ignores differences in tastes, culture, incomes and law; risk of offence or rejection	Higher costs of research, product variation and separate campaigns; risk of diluting the global brand
Examples	Apple's iPhone; Coca-Cola's core product and logo; Rolex; Chanel	McDonald's: no beef in India (McAloo Tikki, Chicken Maharaja Mac), McSpicy Paneer; teriyaki burgers in Japan. KFC in Japan built a Christmas tradition. Nestlé's KitKat flavours such as matcha green tea in Japan

Different marketing approaches

Approach (spec wording)	Orientation	Features	Suits
Domestic / ethnocentric	Home-country view	Same mix as at home; decisions made at head office; overseas sales	Firms starting to export; products whose appeal is their national origin (Scotch whisky,

		seen as an extension of domestic sales	British heritage brands). Risk: cultural blindness
International / polycentric	Host-country view	Each country has its own tailored mix, often designed by local subsidiaries and managers	Markets with very different cultures and tastes, e.g. food and drink; high costs and no global economies of scale
Mixed / geocentric	World view	A global strategy and brand, with adaptation where it adds value; best practice shared across countries	Most large MNCs today — Unilever, McDonald's, Nike. Balances scale economies and responsiveness

Exam Tip: Globalisation and the geocentric approach are closely related — both combine global scale with local adaptation. What gets you into the higher levels is explaining *which elements* should be standardised (usually the brand, logo, core technology and quality) and *which* adapted (flavours, sizes, promotion, price) for the product in the extract, and why. Standardise what customers value for being the same everywhere; adapt what they value for being local.

Application and adaptation of the marketing mix (4Ps) to global markets

P	Possible adaptations	Examples
Product	Ingredients and flavours (religious, dietary and taste differences); sizes and packaging (smaller packs for lower incomes); technical standards (voltage, plugs, left/right-hand drive); legal requirements; product name	McDonald's in India; single-serve sachets of shampoo sold by Unilever in India and South-East Asia; Mitsubishi renamed the Pajero as the Montero in Spanish-speaking markets because "pajero" is offensive slang in Spanish
Price	Local incomes and purchasing power; competition; tariffs, taxes and transport	Netflix and Spotify charge much lower subscriptions in India than in the UK;

	costs; exchange rates; price discrimination between markets	premium pricing for Western brands as status symbols in some markets
Promotion	Language and translation; cultural values, humour and imagery; different media (e.g. WeChat and Douyin in China, where Google, Facebook and Instagram are blocked); advertising law	Global campaigns using local celebrities; alcohol advertising restrictions in many countries
Place	Distribution channels; retail structures (small independent shops vs supermarkets); e-commerce platforms; local partners and franchising; infrastructure	Selling through Alibaba's Tmall in China; franchising or joint ventures to use local partners' networks (Tata Starbucks in India)

Application of Ansoff's Matrix to global markets

Strategy	Global application	Risk
Market penetration	Selling more of existing products in existing overseas markets — more outlets, more promotion, competitive pricing	Lowest — the firm already knows the market
Market development	Taking existing products into new countries — the core of international expansion (e.g. Primark expanding into the US and across Europe)	Medium — new customers, culture, laws and competitors; worse if the market is very different
Product development	New or adapted products for existing overseas markets — glocalised products (KitKat flavours in Japan)	Medium
Diversification	New products for new overseas markets — often through joint ventures or acquisitions to share the knowledge gap	Highest — neither product nor market is known

Entering a culturally distant market is riskier than Ansoff's simple "market development" label suggests, so the global version of the matrix should always be evaluated with the cultural and social factors in section 3.

2. Niche markets (4.3.2)

Cultural diversity

Groups of people across the globe have **different interests and values** shaped by religion, language, history, climate, income and lifestyle. But people with the *same* interests exist in every country. A niche too small to be profitable in one country can become substantial when aggregated globally — especially now that the internet and social media let firms reach dispersed customers cheaply.

Features of global niche markets

- Small, specialised segments that exist across many countries — customers share interests across borders more than with their own compatriots.
- Customers have specific needs and are often willing to pay a premium; demand is less price sensitive.
- Fewer competitors, especially mass-market firms, which are not interested in small volumes.
- Strong brand loyalty and word-of-mouth (online communities, specialist forums, social media).
- Often reached through e-commerce and specialist distributors rather than mass retail.
- **Examples:** luxury goods (Rolex, Hermès, Aston Martin); halal cosmetics and modest fashion; specialist outdoor and adventure equipment; K-pop and anime merchandise; high-end audio (Bowers & Wilkins); Morgan cars; organic baby food; vintage and collectable goods sold worldwide via eBay and Etsy.

Application and adaptation of the marketing mix to suit global niches

P	Global niche approach
Product	High quality, specialised, authentic, often with a strong heritage or exclusive design; usually standardised because the niche's shared values cross borders;

	limited editions and customisation
Price	Premium pricing reflecting exclusivity and lower price elasticity; price consistency across markets to protect brand image and prevent grey-market imports
Promotion	Targeted rather than mass: specialist magazines and websites, social media influencers in the niche, sponsorship of niche events, word of mouth; consistent brand story worldwide
Place	Selective or exclusive distribution: flagship stores in global cities, specialist retailers, the firm's own website shipping worldwide

Evaluation: global niches offer high margins and loyal customers, but volumes are small, the business is vulnerable if the niche shrinks or tastes change, and if the niche grows, large firms may enter and compete. Maintaining exclusivity while growing is the constant tension for luxury brands.

3. Cultural and social factors (4.3.3)

Consideration	Explanation	Examples
Cultural differences	Values, religion, customs, social norms, attitudes to time, family and gender, business etiquette, colours and numbers with symbolic meaning	White is associated with mourning in parts of East Asia; the number 4 is considered unlucky in China and Japan; Starbucks closed most of its Australian stores in 2008 after misjudging the country's established café culture
Different tastes	Food preferences, sweetness, spice, portion sizes, design and fashion preferences	KitKat's many regional flavours in Japan; lower-sugar or spicier recipes in different markets
Language	Need for accurate translation of packaging, instructions, advertising	India has 22 officially recognised languages; Canada requires bilingual English–French labelling

	and websites; multiple languages within some countries	
Unintended meanings	Brand or product names that mean something different, or offensive, in another language	Mitsubishi Pajero renamed Montero in Spanish-speaking markets; the Chevrolet Nova in Latin America is often cited ("no va" means "doesn't go"), though the story is largely a myth — the car sold well, a reminder to check examples
Inappropriate/inaccurate translations	Slogans translated literally can become meaningless or embarrassing	HSBC dropped its "Assume nothing" slogan in 2009 after it was reported to translate in some markets as "Do nothing"; launching a costly global rebrand; KFC's "finger lickin' good" is widely reported to have been rendered in China as "eat your fingers off"
Inappropriate branding and promotion	Imagery, humour or messages that offend local values; ignoring religious or political sensitivities	Dolce & Gabbana's 2018 Chinese advertising, showing a model struggling to eat Italian food with chopsticks, was condemned as racist; its Shanghai show was cancelled and Chinese retailers dropped its products

Consequences and how firms avoid mistakes

- **Consequences:** lost sales, damaged reputation that spreads instantly on social media, cost of withdrawing and relaunching products and campaigns, possible boycotts and legal action.
- **Avoiding mistakes:** local market research and focus groups; local managers and marketing agencies; professional translation and back-translation; testing names and campaigns before launch; joint ventures with local partners; cultural-awareness training for staff.

Exam Tip: Cultural mistakes make memorable examples, but don't just tell the story — analyse the business consequence (lost revenue, rebranding costs, damaged brand equity) and evaluate how serious and lasting it was. Many firms recover quickly from a translation error; some, like Dolce & Gabbana in China, suffer lasting damage in a key market. The difference usually depends on whether the mistake appeared to reflect genuine disrespect.

How Edexcel rewards this topic

- **Knowledge:** precise meaning of glocalisation, ethnocentric, polycentric and geocentric; features of a global niche market.
- **Application:** identify the firm's current approach from the extract (e.g. identical products everywhere = ethnocentric/global), the target countries and their cultural features.
- **Analysis:** adaptation → better fit with local tastes → higher demand; *but* adaptation → lost economies of scale → higher unit costs → lower margins.
- **Evaluation:** the balance between standardisation and adaptation depends on the product (luxury and technology products standardise well; food adapts), the cultural distance between markets, the firm's resources, and the strength of local competitors.

Common mistakes

- Mixing up polycentric (each country different) and geocentric (global with local adaptation).
- Assuming adaptation is always better — it is costly, and for some products the global identity is the selling point.
- Treating a global niche as a small local market — its defining feature is that it exists across many countries.
- Applying the 4Ps generically: every point should refer to the specific country or product in the extract.

Quick recall

- Global strategy (standardise) vs glocalisation (think global, act local)

- Ethnocentric (domestic) — polycentric (international, country-by-country) — geocentric (mixed, global with adaptation)
- 4Ps adapted for product features, price levels, promotion language/media, place channels
- Global Ansoff: market development = new countries; risk rises with cultural distance
- Global niche: small specialised segment across many countries; premium, targeted, selective distribution
- Cultural/social factors: cultural differences, tastes, language, unintended meanings, poor translations, inappropriate branding and promotion